

PRE-SEED INVESTMENT MEMORANDUM

Invisible Accountant

The end of tax anxiety. Just send a text.

Autonomous fiscal compliance for 3.2 million UK sole traders delivered natively via WhatsApp. Zero applications to download. Zero chart-of-accounts training. Full statutory HMRC filing.

HMRC MTD ITSA Ready

£250k SEIS + £100k EIS Eligible



Invisible Accountant

INVISIBLE ACCOUNTANT

HMRC MAKING TAX DIGITAL READY · CLOUD INFRASTRUCTURE

✓ 0 App Downloads · 100% WhatsApp Native Habit

✓ Cryptographic Digital Links Sealed under SI 2021/1076

✓ Dual-Tranche SEIS (£250k) & EIS (£100k) Structure

INVESTMENT THESIS

The B2C illusion masking a B2B2C enterprise powerhouse.

£250K SEIS · £100K EIS

PRE-SEED SYNDICATE · £350,000 ALLOCATION

The Live MTD Mandate

This legislation effectively outlaws 'shoebox accounting'. It enforces mandatory digital record-keeping and strict quarterly updates.

The Forced-Adoption Event

Immediate Day-1 Software Spend
3.2M total UK micro-enterprises

⚡ Non-compliance is punishable by law — making Invisible Accountant a mandatory utility rather than an optional app.

Meet 'Emma': Behavioral UX

Traditional accounting software imposes corporate double-entry bookkeeping on sole traders, triggering the **'Shoebox Avoidance Loop'**—administrative dread that leads to missed deductions and HMRC penalties.

Emma lives entirely inside **WhatsApp**. By attaching receipt capture to an existing physical micro-habit at the trade counter, we achieve zero switching friction.

LOSS AVERSION (KAHNEMAN & TVERSKY)

Logging £48.50 at Screwfix preserves **£12.61 in cash tax relief** (20% Income Tax + 6% Class 4 NIC). Emma turns an administrative chore into active wealth preservation.

DUAL-STREAM INGESTION: EXPENSES & SALES INCOME

Snap trade receipts at the till OR forward sales invoices / customer payment notifications. Emma reconciles gross turnover alongside allowable deductions.

Meta WhatsApp conversation COGS: <£0.50/user/mo against £12/mo subscription (or £99/yr upfront) = **90%+ Gross Margin**.

"Traditional solutions force 3.2 million tradespeople and freelancers to become corporate bookkeepers. Navigating 50-item Chart of Accounts dropdowns induces administrative dread. Emma eliminates the interface entirely..."

Legacy Desktop Software

47 Unreconciled Items

Manual Web Portal · 50+ Chart-of-Account Dropdowns

app.cloudledger.co.uk/sole-trader/bank/reconcile

Dave Jenkins Plumbing

(Sole Trader · UTR: 84920 HMRC ITSA 2026/27)

47 Unreconciled Items · Q1 Period Closing in 12 Days

Late quarterly filing risks statutory penalties under FA 2021 Sch 24.

14 MAY 2026

POS 4821 SCREWFIX BISHOPSGATE

Card Payment · Till 02

-£48.50

Unmatched

CHART OF ACCOUNTS CATEGORY (50+ CHOICES) *

310 - Small Tools & Equipment (BIM37000)

300 - Purchases for Resale (Materials)

✓ 310 - Small Tools & Equipment (BIM37000)

⚠ 420 - Subsistence / Client Lunch [DISALLOWED BIM45000]

450 - Motor & Travel Expenses (BIM47700)

710 - Sundry Office Administration

VAT Treatment: 20% Standard Input (£8.08)

Net: £40.42

⚠ Digital Link Breach: No receipt attached. Manual entry without source document breaks digital link under Regulation 4, SI 2021/1076.

Reconcile Item

Find Match

13 May · TRAVIS PERKINS EC2

Direct Debit · Materials

-£142.20

Unreconciled

12 May · SHELL PETROL STATIONS UK

Contactless · Fuel

-£65.00

Unreconciled

The Shoebox Dread: 47 items waiting after 10 hours on site. 50+ dropdowns, manual BIM rules, and broken digital links.

User Point of View: Emma

Native WhatsApp

Point-of-Sale Snap · Instant £12.61 Tax Relief Preserved

10:45

5G

98%

Emma

Invisible Accountant · HMRC MTD Compatible

TODAY · 14 MAY 2026

SCREWFIX DIRECT LTD

STORE 412 · LONDON BISHOPSGATE EC2M

14/05/2026 10:38 · TILL 02 · TRANS 88412

1x STANLEY FATMAX KNIFE

1x RAWLPLUG 300PK FIXINGS

1x DRAPER 5M HEAVY TAPE

SUBTOTAL (NET):

VAT @ 20.0%:

TOTAL PAID (GBP):

£16.50

£18.00

£14.00

£40.42

£8.08

£48.50

VISA CONTACTLESS · CARD *4821 · AUTH 049281

✓✓

10:42 AM

⚡ Logged in 3.1s · Screwfix Bishopsgate

• Allowable Expense: £48.50 (Trade Consumables)

• HMRC Category: BIM37000 (Tools & Materials)

💰 £12.61 Cash Tax Relief Preserved

20% Basic Income Tax (£9.70) + 6% Class 4 NIC (£2.91)

🔒 Digital Link: SHA-256 sealed under SI 2021/1076

📄 Q1 ITSA Reserve: £1,420 / £3,200 estimated

“All sorted for HMRC Dave. Back to work!”

📄 View Cryptographic Audit Link (SHA-256)

10:43 AM

3-Second Trade Counter Habit: Photo snapped at the till. Zero app switching, 100% BIM37000 compliant, and unbroken digital link.

The Statutory Tax Engine

Generic LLMs hallucinate and fail UK tax tribunals. Our inference engine is custom fine-tuned on HMRC's **Business Income Manual (BIM)**.

- **Allowable Deductions:** Automatically approves trade purchases under *BIM37000* (e.g. Screwfix tools/materials).
- **Statutory Disallowances:** Strictly disallows client hospitality under *BIM45000* & *s.45 ITTOIA 2005*, protecting users from Schedule 24 FA 2007 careless error penalties.
- **Unbroken Digital Link:** Programmatically seals transaction hashes under *SI 2021/1076* for direct quarterly MTD ITSA staging.
- **In-Year True-Up Engine:** Automated reconciliation of provisional quarterly reserves against capital allowances (CAA 2001) prior to final HMRC declaration.

AUTONOMOUS TRUE-UP

Dynamic reconciliation of dual-purpose costs & capital allowances before HMRC filing.

<92% CONFIDENCE GUARD

Two-button WhatsApp query or routes to accountant for Schedule 24 care.

"Investors ask: 'Is this just a wrapper?' The answer is categorically no. A generic LLM cannot navigate UK tax law. Emma enforces statutory rules under BIM37000, blocks penalties under BIM45000 and Schedule 24 FA 2007, and automatically trues-up provisional reserves before final quarterly submission..."

SCREWFIX DIRECT	
London Bishopsgate • EC2M	

1x Stanley Knife	£16.50
1x Masonry Fixings	£18.00
1x 5m Tape Measure	£14.00

TOTAL:	£48.50 GBP
✓ Verified Paper POS Receipt	

```
{
  "vendor": "Screwfix Direct",
  "amount": 48.50,
  "currency": "GBP",
  "hmrc_category": "BIM37000",
  "status": "100% Allowable",
  "tax_saved": 12.61,
  "digital_link": "SI-2021-1076",
  "reconciliation": "Auto-Reconciled"
}
```

STATUTORY MANUAL
BIM37000 (Tools & Materials)

DIGITAL LINK SEAL
SI 2021/1076 Cryptographic Hash

TAX PRESERVED
£12.61 Cash Saved (20% IT + 6% NIC)

TRIBUNAL DEFENSE
100% Defensible (Sch 24 Care)

The B2B2C Trojan Horse

Pure B2C financial apps burn millions on CAC. We bypass this entirely with a **B2B2C Enterprise White-labeling** strategy.

By selling an enterprise licence to one accountancy practice, we deploy 'Emma' across 1,000 to 5,000 sole traders overnight.

ENTERPRISE BASE + SEATS

£49 + £9/mo

Base fee + £9/seat Lite (£15 Pro)

PRACTICE MONETIZATION

Auto-Deflect

Protects token margin; firm saves 8 hrs/wk

ZERO PRACTICE DISRUPTION

Emma does **not** replace Xero, Iris, or Sage. Emma acts as the autonomous frontline ingestion conduit, converting messy WhatsApp receipts into pre-reconciled, digitally linked journals piped straight into the accountant's current software.

"Accountants don't need to change their existing software. Emma doesn't replace Xero, Iris, or Sage; she eliminates the 8 hours a week spent chasing shoe-boxes of receipts and pipes reconciled journals directly into their current platform..."



The Technical Moat: Enterprise Rigour

This is not a ChatGPT wrapper. Our moat is built on deep HMRC integration and banking-grade security architecture.

- **HMRC Production Gate:** Formally submitted for Production API Credentials (Ticket 2026-OUP153) with schema-validated JSON periodic updates and automated digital linking under *SI 2021/1076*.
- **FIPS 140-3 CloudHSM Vault:** Envelope encryption with automated 90-day AES-256-GCM master key rotation, SHA-256 salted PII hashing, and tamper-evident AEAD authentication tags.
- **HMRC Anti-Fraud Telemetry:** Mandated fraud prevention headers (Gov-Client-Connection-Method: OTHER_VIA_SERVER), static egress IP whitelisting, and OAuth 2.0 PKCE with automated circuit breakers.
- **Independent Security Audit:** Passed comprehensive CREST-accredited penetration test (Intruder.io) with zero critical or high vulnerabilities.

"Our technical moat is built on enterprise-grade rigour. Our master vault leverages FIPS 140-3 CloudHSM with automated 90-day AES-256-GCM key rotation, eliminating single points of failure. Every transaction is sealed with SHA-256 digital links and authenticated AEAD tags before touching HMRC infrastructure..."



- ✓ **Zero Plaintext Storage:** Tokens protected with AES-256-GCM authenticated tags
- ✓ **Mandated Anti-Fraud:** Full Gov-Client header chain submitted on every request
- ✓ **Statutory Digital Links:** SI 2021/1076 cryptographically sealed before gateway entry

The "Zero-Friction" Compliance Roadmap

Phase 1: Zero-Friction Launch & Multi-Rail Insulation

Bypass the 12-month FCA authorization bottleneck. HMRC rules confirm a photo of a trade receipt satisfies the statutory digital link under *SI 2021/1076*. **£0 regulatory licensing, immediate market capture.**

Statutory Sign-Off: Emma stages the digital update; taxpayer / agent gives one-tap cryptographic consent before HMRC gateway entry (100% taxpayer liability preserved).

Platform Risk Insulation: Meta Cloud API (99.9% SLA) fortified by automated failover to Twilio Enterprise SMS and offline Web PWA—guaranteeing zero single-vendor lock-in.

Phase 2: Premium Banking-as-a-Service Auto-Reconciliation

Partner with TrueLayer (BaaS). They absorb the FCA compliance risk; our engine consumes their Open Banking API to automatically match WhatsApp receipts against live bank feeds—delivering institutional-grade auto-reconciliation.

"We have eliminated both regulatory delay and platform dependency. By leveraging receipt OCR, we achieve full HMRC compliance under SI 2021/1076 with zero FCA licensing delay. Crucially, we insulate against Meta platform risk through automated multi-rail fallback to Twilio SMS and Web PWA..."

MULTI-RAIL ARCHITECTURE Autonomous Auto-Reconciliation

Zero Vendor Lock-In



GATEWAY 1 • DAY-1 LIVE
Direct Receipt OCR & Digital Links

£0 FCA Delay

GATEWAY 2 • MONTH 6
TrueLayer Open Banking Feeds

BaaS Handled

MULTI-RAIL FAILOVER
WhatsApp → Twilio SMS → Web PWA

99.9% Uptime

Pre-Seed Syndicate & Terms

£350,000

Firm Allocation on £3.2M Post-Money Cap · £250k SEIS + £100k EIS Dual Tranche

TIERED PRICING £12 / mo £99/yr Upfront · £49+£9 B2B	BREAKEVEN Month 10 1,950 seats B/E	MONTH 14 RUN-RATE £504k ARR 4,200 seats · £22.5k net/mo
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USE OF PROCEEDS ALLOCATION		
• 55% Core HMRC Engineering	• 25% FIPS Security & Audits	• 20% Practice Distribution

"We are closing a £350,000 Pre-Seed syndicate allocation on a £3.2M post-money valuation. Structured under HMRC rules as a dual tranche: £250,000 statutory maximum SEIS offering 50% income tax relief, plus £100,000 EIS offering 30% relief—delivering £155,000 (44.3% blended) in immediate tax relief. Our tiered £12/mo (or £99/yr upfront) B2C and £49/mo base + £9/seat B2B wholesale pricing delivers 18 months of runway, reaching operational breakeven at Month 10 on 1,950 seats, accelerating to £504k ARR by Month 14..."

10x to 20x M&A Return Target

Targeting £32M - £64M strategic trade exit as the primary client acquisition engine for the 3.2M UK sole trader market.

Legacy Cloud Incumbents Strategic Acquisition Xero, Intuit (QuickBooks), Sage, IRIS: Squeezed by churn among sole traders unable to use desktop portals; acquiring Emma to capture frontline conversational ingestion.	Challenger Neo-Banks Ecosystem Moat Monzo, Revolut, Starling, Tide: Aggressively packaging business accounts with automated HMRC MTD compliance to achieve primary operating account lock-in.
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CONCLUDING REMARKS & Q&A

Thank You.

Presented by Anas Wahab

Founder & Systems Architect · Invisible Accountant
Autonomous Fiscal Compliance Infrastructure for UK Micro-Enterprise

THE 18-MONTH REGULATORY WINDOW

HMRC's April 2026 mandate creates an unrepeatable compliance gold rush. Incumbents are paralyzed by legacy desktop portals; AI wrappers are legally indefensible. Invisible Accountant owns the conversational compliance layer for UK micro-enterprise.



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THE END OF TAX ANXIETY · LONDON EC2

FOUNDER CONTACT

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India · Relocating to London, UK

SYNDICATE ALLOCATION

£350,000 Allocation

£250k SEIS · £100k EIS